State capacity does not come about easily. It is better to solve easy problems first, that put us on the path to higher state capacity in the future. Capability emerges out of the process of learning-by-doing. This calls for low transaction-intensity, less discretion, low stakes and less secrecy, at the early stages.

It is important to think through the political economy. This is not just about buying out the persons who lose from a reform. The early steps should create gainers who will then support and sustain the reform.

In the early stages of building the republic, low coercive power should be given to government organizations, particularly the powers to raid, investigate and punish. Through this, we reduce the stakes. Only after high success is achieved, in wielding low coercive power, can there be a discussion about whether higher coercive power is desirable.

In India, we are often seeing a negative spiral. An agency has excessive coercive power, and so it fails in its work, but the political response to failure generates greater coercive power for the agency, which further reduces capability. The right response to failure by an agency should be a reduction in its coercive power.